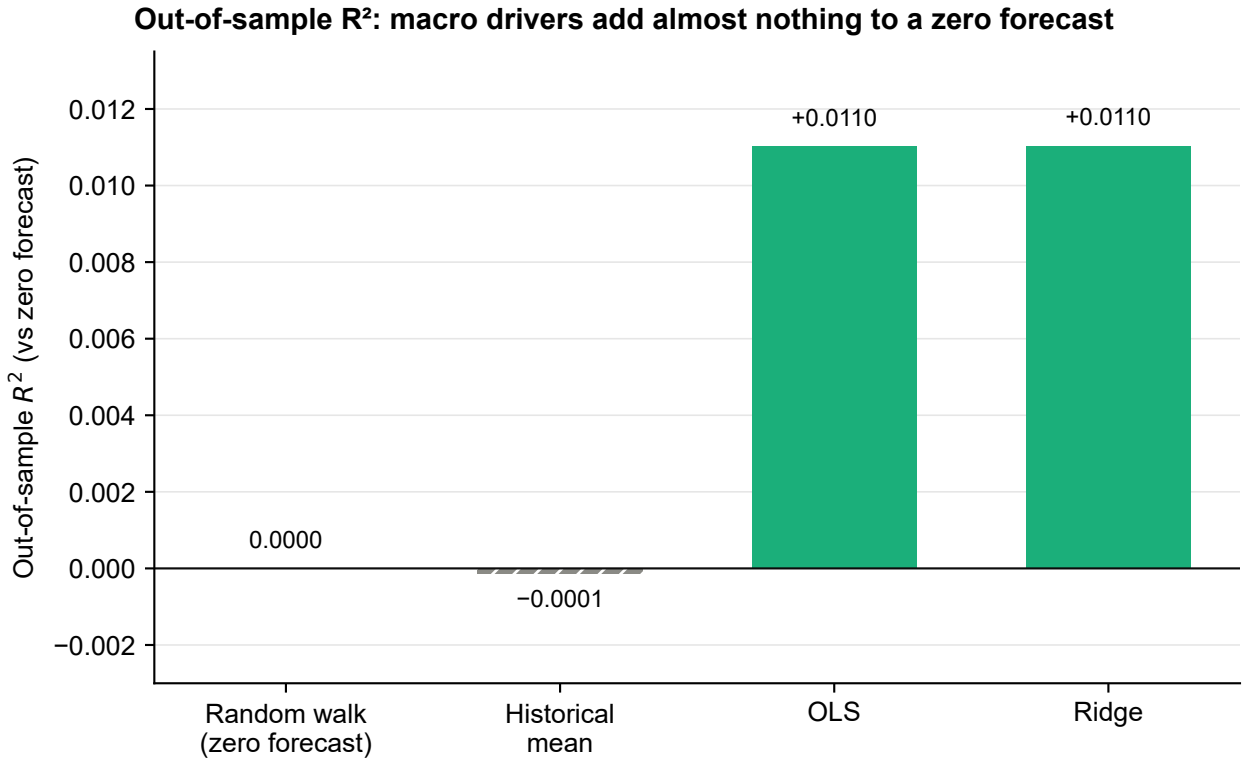
Out-of-sample R²: macro drivers add almost nothing to a zero forecast
Out-of-sample $R^2$ (vs zero forecast)
0.012
0.010
0.008
0.006
0.004
0.002
0.000
−0.002
0.0000
−0.0001
+0.0110
+0.0110
Random walk (zero forecast)
Historical mean
OLS
Ridge